

Currency concerns: on the rupee

The rupee's rapid **stumble** **poses** a fresh challenge for the economy

It has been a **tumultuous** time for the Indian rupee even as the Reserve Bank of India (RBI) has been actively **stepping into** the foreign exchange market to **stem** its **free fall in pursuit of** what it calls an 'orderly' exchange movement. The rupee had hit an all-time low of 85 to the U.S. dollar on December 19. Last Friday, it **came precariously close** to the 86-mark before a late **intervention** by the central bank pulled it back to 85.53. **A confluence** of factors at work **have** hurt the rupee in recent times, including the **sustained outflows** of **foreign portfolio investments** from securities markets after **key indices peaked** in late September. **Overstretched** stock valuations, a demotivating corporate performance in the July-September quarter, and China's economic **stimulus**, **nudged emerging** market portfolios from Mumbai to Beijing. The Donald Trump factor added a fresh **headwind** with the dollar strengthening since his U.S. presidential electoral victory, and emerging market currencies were further **rattled** by his warning of a 100% **tariff** on BRICS nations for a common currency plan to challenge the **dominance** of the U.S. dollar in global trade.

Even before fears about Mr. Trump's generally **protectionist stance** on trade matters **materialise**, India's goods trade story is **sputtering**. Record **trade deficits** and import bills are going to **show up** in this quarter's **current account deficit**, which is expected to double from around 1.2% of GDP in the second quarter. Services trade is still **throwing up** a surplus but the uncertainty around the H-1B visa **regime** will be a key monitorable, despite Mr. Trump's latest **soothing** comments on the system. The previous RBI Governor, Shaktikanta Das, did well to **forthrightly** dismiss the BRICS currency as just an **idea in the air**, and **stress** that India has no **de-dollarisation agenda**. The government must also issue an **unequivocal** statement **to this effect** in public **fora** and in diplomatic **parleys** to **put** the issue **to rest**. It is true that the **currencies** of other emerging markets **have taken** a bigger **hit** and a falling rupee **bodes well** for exporters, but India also needs to worry about importing inflation, especially on **inelastic items** such as **edible** oil and crude petroleum. **Moreover**, foreign investment flows are uncertain as is the U.S. monetary policy **outlook** for 2025. There is also a limit **to the extent** the central bank can **deploy** forex reserves to manage the rupee's **trajectory**, and the Finance Ministry has **conceded** that recent exchange rate movements **cramp** the freedom for monetary **policymakers**. India's present economic **woes** are linked to domestic **drivers** such as **faltering** consumption and **reluctant** investments. With the rupee coming under pressure, the country's external **resilience** could be tested as well in 2025, and policymakers must **gear up** to manage this new risk. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Stumble** (noun) – Misstep, slip, setback, falter, stumble गिरावट
2. **Pose** (verb) – Present, create, raise, offer, bring about उत्पन्न करना
3. **Tumultuous** (adjective) – Turbulent, chaotic, unstable, rough, stormy अशांत
4. **Step into** (phrasal verb) – Enter, involve oneself, engage, intervene, take part में हस्तक्षेप करना
5. **Stem** (verb) – Halt, stop, restrain, control, check रोकना
6. **Free fall** (phrase) – Sudden decline, sharp drop, uncontrolled descent, plunge तेज गिरावट
7. **In pursuit of** (phrase) – In search of, striving for, aiming for, working towards की खोज में
8. **Orderly** (adverb) – Systematically, neatly, in an organized way व्यवस्थित ढंग से
9. **Come close** (to) (phrase) – Nearly reach, almost achieve, approach करीब आना
10. **Precariously** (adverb) – Dangerously, uncertainly, unstably, riskily खतरनाक रूप से
11. **Intervention** (noun) – Mediation, involvement, interference, action, participation हस्तक्षेप
12. **Confluence** (noun) – Coming together, merging, meeting, union संगम
13. **Sustained** (adjective) – Continuous, consistent, prolonged, steady, ongoing निरंतर
14. **Outflow** (noun) – Exit, exodus, discharge, movement, departure बहिर्वाह
15. **Foreign portfolio investment** (noun) – Investment by foreigners in securities, external portfolio inflow विदेशी पोर्टफोलियो निवेश
16. **Key** (adjective) – Crucial, important, essential, pivotal, significant महत्वपूर्ण
17. **Indices** (noun) – Indicators, measures, markers, benchmarks सूचकांक
18. **Peak** (verb) – Reach the highest point, climax, culminate, top शिखर पर पहुंचना
19. **Overstretched** (adjective) – having borrowed or spent more money than you can pay; excessive अत्यधिक खिंचा हुआ
20. **Stimulus** (noun) – Incentive, boost, motivation, encouragement, spur प्रोत्साहन
21. **Nudge** (verb) – Push, prod, encourage, prompt, urge प्रेरित करना

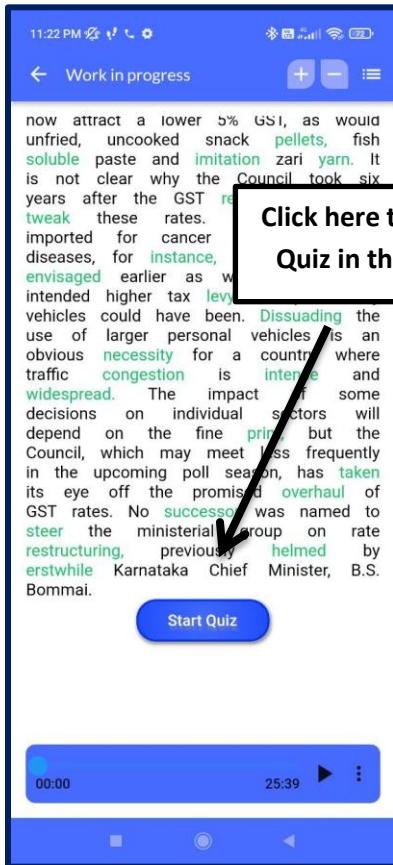
22. **Emerging** (adjective) – Developing, growing, rising, advancing उभरता हुआ
23. **Headwind** (noun) – Obstacle, resistance, challenge, hindrance बाधा
24. **Rattle** (verb) – Unsettle, disturb, shake, disconcert, unnerve परेशान करना
25. **Tariff** (noun) – Tax, duty, levy, charge, fee शुल्क
26. **Dominance** (noun) – Supremacy, control, power, influence, authority प्रभुत्व
27. **Protectionist** (adjective) – Favoring domestic policies, anti-globalization, restrictive संरक्षणवादी
28. **Stance** (noun) – Position, attitude, viewpoint, perspective, outlook रुख
29. **Materialise** (verb) – Realize, come true, happen, occur, manifest अमल में लाना
30. **Sputtering** (adjective) – Faltering, inconsistent, unsteady, struggling, uneven अस्थिर
31. **Trade deficit** (noun) – a situation in which the value of goods a country imports is greater than the value of goods it exports व्यापार घाटा
32. **Show up** (phrasal verb) – Appear, emerge, surface, reveal दिखाई देना
33. **Current account deficit** (noun) – Excess of imports over exports in a country's current account चालू खाता घाटा
34. **Throw up** (phrasal verb) – Generate, produce, create, give rise to उत्पन्न करना
35. **Regime** (noun) – System, administration, government, policy, order व्यवस्था
36. **Soothing** (adjective) – Calming, comforting, relaxing, pacifying, easing शांतिपूर्ण
37. **Forthrightly** (adverb) – Honestly, directly, candidly, straightforwardly स्पष्ट रूप से
38. **Idea in the air** (phrase) – Speculative notion, vague concept, unconfirmed thought हवा में विचार
39. **Stress** (verb) – Emphasize, highlight, underscore, point out जोर देना
40. **De-dollarisation** (noun) – Reducing dependence on the dollar, diversification of currency usage डॉलर से अलगाव
41. **Agenda** (noun) – Plan, program, objective, schedule, goal एजेंडा
42. **Unequivocal** (adjective) – Clear, definite, unambiguous, explicit, straightforward स्पष्ट
43. **To this effect** (phrase) – For this purpose, regarding this, in this regard इस उद्देश्य से

44. **Fora** (noun) – Platforms, forums, venues, assemblies मंच
45. **Parley** (noun) – Discussion, negotiation, conference, talk, dialogue वार्ता
46. **Put something to rest** (phrase) – Resolve, settle, end, conclude, finalize किसी बात को समाप्त करना
47. **Take a hit** (phrase) – Suffer, be affected, face loss, endure नुकसान उठाना
48. **Bode well** (phrase) – Indicate a positive outcome, augur well, forecast success शुभ संकेत देना
49. **Inelastic item** (noun) – a good or service whose quantity demanded remains relatively unchanged when its price changes
50. **Edible** (adjective) – Eatable, consumable, safe to eat खाने योग्य
51. **Moreover** (adverb) – Additionally, furthermore, besides, in addition इसके अलावा
52. **Outlook** (noun) – Perspective, expectation, future view, forecast दृष्टिकोण
53. **To the extent** (phrase) – As far as, within limits, as much as, to the degree जिस हद तक
54. **Deploy** (verb) – Utilize, implement, position, arrange, use लागू करना
55. **Trajectory** (noun) – Path, course, direction, trend मार्ग
56. **Concede** (verb) – Admit, acknowledge, accept, yield, grant स्वीकार करना
57. **Cramp** (verb) – Restrict, hinder, limit, constrain, impede बाधित करना
58. **Policymaker** (noun) – Decision-maker, legislator, planner, administrator, official नीति-निर्माता
59. **Woes** (noun) – Troubles, problems, difficulties, hardships, misfortunes मुसीबतों
60. **Driver** (noun) – Factor, cause, force, motivator, influence कारक, घटक
61. **Faltering** (adjective) – Hesitant, wavering, struggling, unsteady लड़खड़ाता
62. **Reluctant** (adjective) – Unwilling, hesitant, resistant, disinclined अनिच्छुक
63. **Resilience** (noun) – Strength, toughness, flexibility, adaptability, recovery मज़बूती
64. **Gear up** (phrasal verb) – Prepare, get ready, brace, equip, organize तैयार होना

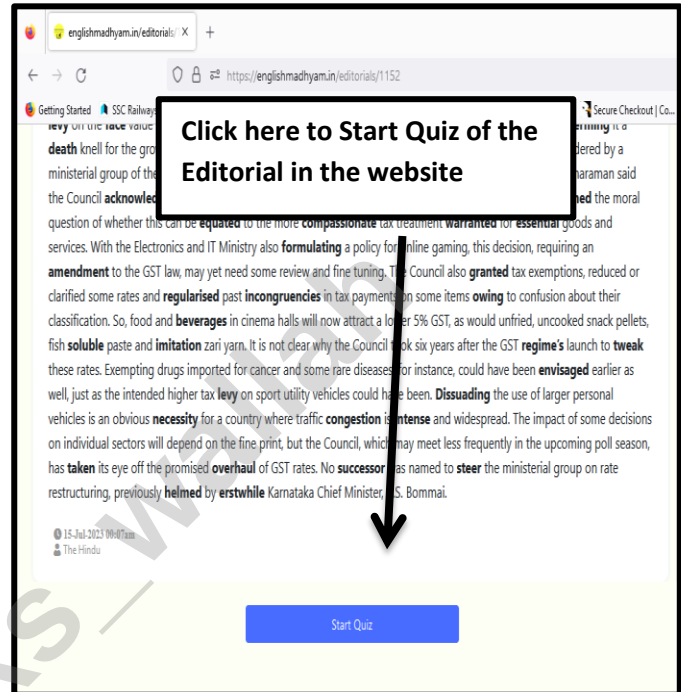
Summary of the Editorial

1. **Rupee's Decline:** The Indian rupee has faced significant depreciation, hitting an all-time low of 85 to the U.S. dollar on December 19 and nearing 86 before RBI intervention.
2. **RBI's Efforts:** The Reserve Bank of India has actively intervened in the foreign exchange market to manage the rupee's trajectory and ensure orderly exchange movements.
3. **Key Factors Impacting Rupee:** Foreign portfolio outflows, overstretched stock valuations, weak corporate performance, and China's economic stimulus have pressured the rupee.
4. **Trump Effect:** The strengthening of the U.S. dollar following Donald Trump's electoral victory and his threats of tariffs against BRICS nations have further weakened emerging market currencies.
5. **Trade Deficits:** India's goods trade has been struggling with record trade deficits and higher import bills, contributing to a doubling of the current account deficit.
6. **Services Trade:** While services trade remains in surplus, uncertainties around the H-1B visa regime could impact its performance.
7. **BRICS Currency Stance:** The previous RBI Governor dismissed the BRICS currency idea and emphasized India's lack of a de-dollarisation agenda; the government must reinforce this position.
8. **Export Benefits vs. Inflation Risks:** A weaker rupee aids exporters but increases the risk of imported inflation, particularly for essential commodities like edible oil and crude petroleum.
9. **Foreign Investment Uncertainty:** Foreign investment flows remain unpredictable, further complicating the economic scenario.
10. **U.S. Monetary Policy:** The outlook for U.S. monetary policy in 2025 adds to the uncertainty, affecting global and domestic markets.
11. **Forex Reserves Limitation:** There are limits to how much the RBI can use forex reserves to manage the rupee's depreciation.
12. **Policy Constraints:** The Finance Ministry acknowledges that recent exchange rate fluctuations restrict monetary policy flexibility.
13. **Domestic Economic Challenges:** India's economic issues are rooted in weak domestic consumption and sluggish investment levels.
14. **External Resilience at Risk:** With the rupee under pressure, India's ability to manage external economic challenges in 2025 could be tested.
15. **Policy Imperatives:** Policymakers need to address these risks proactively to safeguard economic stability and resilience.

Practice Exercise: Banking Pattern Based



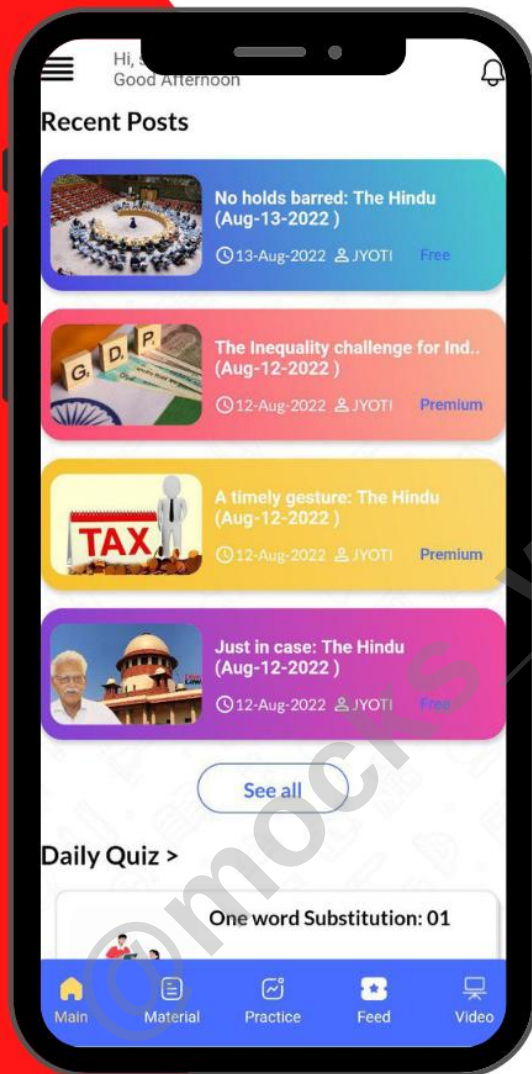
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